

UNIT-IV

1. What is the definition of E-Commerce?

- A) The exchange of goods only
- B) Buying and selling of goods, products, or services over the internet
- C) Traditional commerce
- D) Physical store transactions

Answer: B) Buying and selling of goods, products, or services over the internet

2. Which of the following is another term for E-Commerce?

- A) M-Commerce
- B) Digital Commerce
- C) Traditional Commerce
- D) A and B

Answer: D) A and B

3. What types of transactions are considered part of E-Commerce?

- A) Only transactions involving goods
- B) Only transactions involving services
- C) Transactions of money, funds, and data
- D) All of the above

Answer: C) Transactions of money, funds, and data

4. Which of the following is NOT a way in which E-Commerce transactions can occur?

- A) Business to Business (B2B)
- B) Business to Customer (B2C)
- C) Company to Company (C2C)
- D) Customer to Government (C2G)

Answer: D) Customer to Government (C2G)

5. Who are the main components of E-Commerce?

- A) Sellers and buyers
- B) Users and vendors
- C) Marketers and consumers
- D) Suppliers and manufacturers

Answer: B) Users and vendors

6. Which of the following is NOT a responsibility of e-commerce vendors?

- A) Supply Chain Management
- B) Shipping and returns
- C) Warehouse operations
- D) Product manufacturing

Answer: D) Product manufacturing

CYBER SECURITY

7. Which of the following is NOT a function of e-commerce vendors' responsibilities?

- A) Marketing and loyalty programs
- B) Customer support
- C) Product display
- D) Invoice management

Answer: D) Invoice management

8. What is the function of the technology infrastructure in e-commerce?

- A) Providing internet connectivity
- B) Storing data/programs essential for operations
- C) Managing payment gateways
- D) Handling shipping and logistics

Answer: B) Storing data/programs essential for operations

9. Which of the following is crucial for the success of e-commerce transactions?

- A) Efficient shipping services
- B) Advanced payment gateways
- C) Internet/network connectivity
- D) Marketing strategies

Answer: C) Internet/network connectivity

10. What is the purpose of a web portal in e-commerce?

- A) Providing internet connectivity
- B) Storing data/programs
- C) Facilitating e-commerce transactions
- D) Managing inventory

Answer: C) Facilitating e-commerce transactions

11. Which of the following is NOT an example of a payment gateway?

- A) Credit/Debit Card Payments
- B) Online bank payments
- C) Social media platforms
- D) Unified Payments Interface (UPI)

Answer: C) Social media platforms

12. What role does the payment gateway play in e-commerce transactions?

- A) Managing inventory
- B) Providing internet connectivity
- C) Facilitating secure payment transactions
- D) Handling customer support

Answer: C) Facilitating secure payment transactions

13. What is the primary purpose of encryption in e-commerce security?

- A) Protecting against malware

CYBER SECURITY

- B) Securing physical servers
- C) Encoding sensitive information during transmission
- D) Preventing unauthorized access to networks

Answer: C) Encoding sensitive information during transmission

14. Which technology is commonly used for encrypting data in e-commerce transactions?

- A) Virtual Private Network (VPN)
- B) Secure Sockets Layer (SSL) or Transport Layer Security (TLS)
- C) Antivirus software
- D) Firewall

Answer: B) Secure Sockets Layer (SSL) or Transport Layer Security (TLS)

15. What is the purpose of secure payment gateways in e-commerce?

- A) Protecting physical servers
- B) Securing customer passwords
- C) Ensuring secure transmission of financial information
- D) Preventing unauthorized access to networks

Answer: C) Ensuring secure transmission of financial information

16. How do firewalls and security software contribute to e-commerce security?

- A) By encrypting data
- B) By verifying user identity
- C) By preventing unauthorized access to the network
- D) By conducting security audits

Answer: C) By preventing unauthorized access to the network

17. What is the role of authentication and authorization in e-commerce security?

- A) Protecting against malware
- B) Verifying user identity
- C) Encrypting data
- D) Conducting security audits

Answer: B) Verifying user identity

18. What is the importance of regular updates and patch management in e-commerce security?

- A) Protecting physical servers
- B) Preventing unauthorized access to networks
- C) Ensuring data privacy compliance
- D) Mitigating vulnerabilities

Answer: D) Mitigating vulnerabilities

CYBER SECURITY

19. Which aspect of e-commerce security involves adhering to regulations like GDPR and CCPA?

- A) Risk assessment and monitoring
 - B) Data privacy and compliance
 - C) Customer education
 - D) Physical security measures
- Answer: B) Data privacy and compliance

20. What is the purpose of conducting risk assessment and monitoring in e-commerce security?

- A) Securing physical servers
 - B) Preventing unauthorized access to networks
 - C) Identifying potential vulnerabilities and threats
 - D) Educating customers
- Answer: C) Identifying potential vulnerabilities and threats

21. How does customer education contribute to e-commerce security?

- A) By securing physical servers
 - B) By preventing unauthorized access to networks
 - C) By verifying user identity
 - D) By promoting safe online practices
- Answer: D) By promoting safe online practices

22. Why is physical security important in e-commerce?

- A) To prevent data breaches
 - B) To secure customer passwords
 - C) To ensure secure transmission of financial information
 - D) To prevent unauthorized access to hardware and infrastructure
- Answer: D) To prevent unauthorized access to hardware and infrastructure

23. Which of the following is a common threat to e-commerce platforms?

- A) Weather disruptions
 - B) Data Breaches
 - C) Employee strikes
 - D) Office supply shortages
- Answer: B) Data Breaches

24. What is a common method used by cybercriminals in phishing attacks?

- A) Sending physical letters
 - B) Making phone calls
 - C) Sending deceptive emails or messages
 - D) Distributing flyers
- Answer: C) Sending deceptive emails or messages

25. What is the purpose of malware and viruses in e-commerce threats?

- A) Enhancing website performance
- B) Disrupting operations and compromising user data
- C) Improving customer experience
- D) Strengthening network security

Answer: B) Disrupting operations and compromising user data

26. What is the goal of a DDoS attack on an e-commerce website?

- A) Stealing customer information
- B) Causing financial losses
- C) Overwhelming the website's servers with excessive traffic
- D) Encrypting sensitive data

Answer: C) Overwhelming the website's servers with excessive traffic

27. How do attackers exploit vulnerabilities in SQL Injection attacks?

- A) By intercepting communication between users and the website
- B) By inserting malicious SQL queries to access or manipulate the database
- C) By tricking users into revealing sensitive information
- D) By distributing malware through infected files

Answer: B) By inserting malicious SQL queries to access or manipulate the database

28. What is the objective of a Man-in-the-Middle (MITM) attack?

- A) Overwhelming the website's servers with excessive traffic
- B) Intercepting communication to steal information or manipulate data
- C) Accessing the supply chain network
- D) Executing payment frauds

Answer: B) Intercepting communication to steal information or manipulate data

29. What is the risk associated with identity theft in e-commerce?

- A) Loss of inventory
- B) Legal disputes with suppliers
- C) Unauthorized access to customer accounts and financial fraud
- D) Shipping delays

Answer: C) Unauthorized access to customer accounts and financial fraud

30. What aspect of e-commerce does a supply chain attack target?

- A) Customer education
- B) Payment gateways
- C) Physical security measures
- D) Weaknesses in the supply chain

Answer: D) Weaknesses in the supply chain

31. What is a common type of payment fraud in e-commerce?

- A) Sending counterfeit products
- B) Charging excessive shipping fees
- C) Stolen credit card information or unauthorized transactions
- D) Delaying order fulfillment

Answer: C) Stolen credit card information or unauthorized transactions

32. What is the primary purpose of using Secure Sockets Layer (SSL) encryption in e-commerce?

- A) Protecting against phishing attacks
- B) Enhancing website performance
- C) Encrypting data transmitted between website and users' browsers
- D) Securing physical servers

Answer: C) Encrypting data transmitted between website and users' browsers

33. How can strong password policies contribute to e-commerce security?

- A) Protecting against malware
- B) Preventing unauthorized access to networks
- C) Encrypting data
- D) Enhancing user authentication

Answer: D) Enhancing user authentication

34. What is the purpose of regularly updating software and security patches in e-commerce?

- A) Enhancing website design
- B) Ensuring compliance with regulations
- C) Patching vulnerabilities that attackers could exploit
- D) Preventing server downtime

Answer: C) Patching vulnerabilities that attackers could exploit

35. What is the significance of using reputable payment gateways in e-commerce?

- A) Preventing data breaches
- B) Ensuring compliance with GDPR
- C) Complying with PCI DSS and securely handling payment information
- D) Securing physical servers

Answer: C) Complying with PCI DSS and securely handling payment information

36. How does data encryption contribute to e-commerce security?

- A) Preventing phishing attacks
- B) Securing physical servers
- C) Encrypting sensitive data when stored or transmitted
- D) Enhancing customer support

Answer: C) Encrypting sensitive data when stored or transmitted

37. What is the purpose of conducting regular security audits and testing in e-commerce?

- A) Enhancing website aesthetics
- B) Identifying vulnerabilities and weaknesses in the system
- C) Preventing employee strikes
- D) Improving customer service

Answer: B) Identifying vulnerabilities and weaknesses in the system

38. What is the function of firewalls in e-commerce security?

- A) Monitoring and controlling incoming and outgoing traffic
- B) Encrypting sensitive data
- C) Conducting security audits
- D) Enhancing user authentication

Answer: A) Monitoring and controlling incoming and outgoing traffic

39. Why is employee training important in e-commerce security?

- A) To prevent natural disasters
- B) To enhance website performance
- C) To educate employees about security best practices and prevent internal breaches
- D) To improve supply chain management

Answer: C) To educate employees about security best practices and prevent internal breaches

40. How does compliance with privacy policies and regulations contribute to e-commerce security?

- A) Preventing data breaches
- B) Enhancing website design
- C) Improving customer support
- D) Complying with legal requirements and protecting customer data

Answer: D) Complying with legal requirements and protecting customer data

41. What is the importance of monitoring and responding to suspicious activity in e-commerce?

- A) Enhancing user experience
- B) Improving website aesthetics
- C) Detecting potential security breaches and responding promptly
- D) Preventing phishing attacks

Answer: C) Detecting potential security breaches and responding promptly

42. How does regular data backup contribute to e-commerce security?

- A) Enhancing website performance
- B) Preventing server downtime
- C) Protecting against malware
- D) Ensuring data can be recovered in case of a security breach or data loss

Answer: D) Ensuring data can be recovered in case of a security breach or data loss

CYBER SECURITY

43. Which e-commerce platform is known for its auction-style selling?

- A) Amazon
- B) eBay
- C) Alibaba
- D) Walmart

Answer: B) eBay

44. Which e-commerce site specializes in wholesale trading between businesses and consumers?

- A) Amazon
- B) eBay
- C) Alibaba
- D) Walmart

Answer: C) Alibaba

45. Which platform is popular for its focus on handmade, vintage, and unique goods?

- A) Amazon
- B) eBay
- C) Etsy
- D) Walmart

Answer: C) Etsy

46. Which e-commerce site is renowned for its specialization in electronics?

- A) Amazon
- B) eBay
- C) Best Buy
- D) Walmart

Answer: C) Best Buy

47. Which platform targets a younger audience with trendy fashion and beauty products?

- A) Amazon
- B) ASOS
- C) Etsy
- D) Walmart

Answer: B) ASOS

48. Which e-commerce site is known for its cashback rewards for purchases?

- A) Amazon
- B) eBay
- C) Rakuten
- D) Walmart

Answer: C) Rakuten

49. Which platform is popular for its customer service and wide selection of shoes and clothing?

- A) Amazon
 - B) eBay
 - C) Zappos
 - D) Walmart
- Answer: C) Zappos

49. Which e-commerce platform is similar to Walmart and offers a diverse range of products?

- A) Amazon
 - B) Target
 - C) Alibaba
 - D) Walmart
- Answer: B) Target

50. Which e-commerce site is one of the largest online retailers offering a wide range of products?

- A) Amazon
 - B) eBay
 - C) Alibaba
 - D) Walmart
- Answer: A) Amazon

51. Which platform is primarily focused on handmade, vintage, and unique goods?

- A) Alibaba
 - B) Etsy
 - C) ASOS
 - D) Target
- Answer: B) Etsy

52. What is the primary characteristic of digital payments?

- A) Involves exchange of hard cash
 - B) Requires physical presence at a bank
 - C) Transactions occur through digital or online modes
 - D) Relies on bartering goods instead of currency
- Answer: C) Transactions occur through digital or online modes

53. What is the function of a payment gateway in digital payments?

- A) Stores payment information on smartphones
 - B) Facilitates transactions by connecting merchants, banks, and customers
 - C) Transmits data between the merchant's bank and the customer's bank
 - D) Enables contactless payments through NFC technology
- Answer: B) Facilitates transactions by connecting merchants, banks, and customers

54. Which component of digital payments enables contactless payments?

- A) Payment Processor
- B) Mobile Wallets
- C) Near Field Communication (NFC)
- D) QR Codes

Answer: C) Near Field Communication (NFC)

55. What is the role of a payment processor in digital payments?

- A) Stores payment information on smartphones
- B) Facilitates transactions by connecting merchants, banks, and customers
- C) Transmits data between the merchant's bank and the customer's bank
- D) Enables contactless payments through NFC technology

Answer: C) Transmits data between the merchant's bank and the customer's bank

56. Which stakeholder in digital payments provides the infrastructure and accounts necessary for transactions?

- A) Financial Institutions
- B) Payment Service Providers (PSPs)
- C) Regulatory Bodies/Government Agencies
- D) Security Firms

Answer: A) Financial Institutions

57. What are mobile wallets in the context of digital payments?

- A) Scannable codes that store payment information
- B) Decentralized forms of currency like Bitcoin
- C) Apps or platforms that store payment information for transactions through smartphones
- D) Technology enabling contactless payments

Answer: C) Apps or platforms that store payment information for transactions through smartphones

58. What technology enables easy transactions through scannable codes?

- A) Payment Gateway
- B) Payment Processor
- C) QR Codes
- D) NFC Technology

Answer: C) QR Codes

59. Who are the primary users making payments or transactions in digital payment systems?

- A) Financial Institutions
- B) Customers/Users
- C) Merchants/Retailers
- D) Payment Service Providers (PSPs)

Answer: B) Customers/Users

60. Which stakeholder ensures the security of digital payment systems by providing encryption and cybersecurity services?

- A) Financial Institutions
- B) Security Firms
- C) Merchants/Retailers
- D) Payment Service Providers (PSPs)

Answer: B) Security Firms

61. What is the function of regulatory bodies/government agencies in digital payments?

- A) Providing encryption and cybersecurity services
- B) Developing and maintaining technology for digital payment systems
- C) Creating and enforcing rules, regulations, and standards to ensure security and fairness
- D) Facilitating transactions between merchants and customers

Answer: C) Creating and enforcing rules, regulations, and standards to ensure security and fairness

62. Which of the following is a widely used payment method that allows users to make cashless transactions online, in digital payment apps, and through PoS machines?

- A) Unified Payment Interface (UPI)
- B) Electronic Wallets (e-Wallets)
- C) Banking Cards
- D) Unstructured Supplementary Service Data (USSD)

Answer: C) Banking Cards

63. What is the main advantage of using Unified Payment Interface (UPI) for digital payments?

- A) Allows users to store financial information and make quick transactions
- B) Culminates numerous bank accounts into a single application for easy money transfer
- C) Enables mobile banking services through basic phones without internet connectivity
- D) Facilitates digital payments using Aadhar-linked accounts

Answer: B) Culminates numerous bank accounts into a single application for easy money transfer

64. Which digital payment mode allows users to store money for future online transactions and is protected with a password?

- A) Unified Payment Interface (UPI)
- B) Banking Cards
- C) Electronic Wallets (e-Wallets)
- D) Unstructured Supplementary Service Data (USSD)

Answer: C) Electronic Wallets (e-Wallets)

65. What technology enables mobile banking services through basic phones without the need for internet connectivity?

- A) Unified Payment Interface (UPI)
 - B) Unstructured Supplementary Service Data (USSD)
 - C) Electronic Wallets (e-Wallets)
 - D) Aadhar-enabled Payments System (AEPS)
- Answer: B) Unstructured Supplementary Service Data (USSD)

66. Which digital payment system leverages Aadhar-linked accounts for transferring money between two Aadhar-linked Bank Accounts?

- A) Unified Payment Interface (UPI)
 - B) Electronic Wallets (e-Wallets)
 - C) Aadhar-enabled Payments System (AEPS)
 - D) Banking Cards
- Answer: C) Aadhar-enabled Payments System (AEPS)

67. What is the primary characteristic of USSD technology in digital payments?

- A) Requires internet connectivity
 - B) Allows users to store financial information
 - C) Facilitates mobile banking services through basic phones
 - D) Utilizes scannable codes for transactions
- Answer: C) Facilitates mobile banking services through basic phones

68. Which digital payment mode enables users to make transactions without the need to type in card or bank details?

- A) Unified Payment Interface (UPI)
 - B) Banking Cards
 - C) Electronic Wallets (e-Wallets)
 - D) Unstructured Supplementary Service Data (USSD)
- Answer: A) Unified Payment Interface (UPI)

69. Which component of digital payments facilitates transactions by connecting merchants, banks, and customers, and ensures secure transfer of sensitive information?

- A) Banking Cards
 - B) Payment Gateway
 - C) Payment Processor
 - D) Mobile Wallets
- Answer: B) Payment Gateway

70. What distinguishes AEPS from other digital payment systems?

- A) It requires internet connectivity for transactions.
 - B) It facilitates transactions without Aadhar authentication.
 - C) It leverages Aadhar-linked accounts for transactions.
 - D) It primarily uses scannable codes for transactions.
- Answer: C) It leverages Aadhar-linked accounts for transactions.

71. Which digital payment mode witnessed over 2 billion transactions in October, making it one of the most popular modes in 2020?

- A) Unified Payment Interface (UPI)
- B) Electronic Wallets (e-Wallets)
- C) Aadhar-enabled Payments System (AEPS)
- D) Banking Cards

Answer: A) Unified Payment Interface (UPI)

72. What is the primary characteristic of phishing scams in digital payments?

- A) Direct bank transfers
- B) Fake messages, emails, or websites
- C) Contactless payment methods
- D) Biometric authentication

Answer: B) Fake messages, emails, or websites

73. How do fraudsters typically use stolen personal information in identity theft?

- A) To make unauthorized transactions
- B) To enable biometric authentication
- C) To download antivirus software
- D) To install malware on devices

Answer: A) To make unauthorized transactions

74. What is the objective of an account takeover in digital payments?

- A) To enable biometric authentication
- B) To make unauthorized transactions
- C) To regularly monitor credit reports
- D) To install antivirus software

Answer: B) To make unauthorized transactions

75. What is card skimming in digital payments?

- A) Using strong, unique passwords
- B) Making contactless payments
- C) Illegally copying credit or debit card information
- D) Installing antivirus software

Answer: C) Illegally copying credit or debit card information

76. What preventive measure is recommended for combating malware and spyware attacks?

- A) Making contactless payments
- B) Regularly updating antivirus and anti-malware software
- C) Using strong, unique passwords
- D) Enabling two-factor authentication

Answer: B) Regularly updating antivirus and anti-malware software

77. What are unauthorized transactions in digital payments?

- A) Transactions made with the account holder's consent
- B) Transactions made without the account holder's knowledge or consent
- C) Transactions using biometric authentication
- D) Transactions monitored by antivirus software

Answer: B) Transactions made without the account holder's knowledge or consent

78. How can individuals protect themselves from social engineering attacks?

- A) Enabling transaction notifications
- B) Regularly updating operating systems and apps
- C) Being cautious of unsolicited calls or messages asking for personal information
- D) Checking account statements for unfamiliar transactions

Answer: C) Being cautious of unsolicited calls or messages asking for personal information

79. What security measures are mandated by the Reserve Bank of India (RBI) for digital transactions?

- A) Regular monitoring of transactions
- B) Customer education about safe practices
- C) Implementation of robust security measures like two-factor authentication
- D) Dispute resolution process

Answer: C) Implementation of robust security measures like two-factor authentication

80. How does the RBI encourage customer awareness regarding digital payments?

- A) By providing prompt redressal for unauthorized transactions
- B) Through educational campaigns and notifications
- C) By limiting customer liability in case of unauthorized transactions
- D) By establishing a Payment System Board

Answer: B) Through educational campaigns and notifications

81. What is the liability of customers in cases of unauthorized transactions, as per RBI guidelines?

- A) Unlimited liability
- B) No liability
- C) Limited liability, subject to certain conditions and timeline for reporting
- D) Liability transferred to the bank

Answer: C) Limited liability, subject to certain conditions and timeline for reporting

82. Which legislation establishes the regulatory framework for payment systems in India?

- A) RBI Act, 1934
- B) Companies Act, 2013
- C) Payment and Settlement Systems Act, 2007
- D) Indian Contract Act, 1872

Answer: C) Payment and Settlement Systems Act, 2007

83. What is the role of the Reserve Bank of India (RBI) under the Payment and Settlement Systems Act, 2007?

- A) Licensing of payment system operators
- B) Regulation of payment systems
- C) Designation of payment systems
- D) All of the above

Answer: D) All of the above

84. What does the concept of "settlement finality" entail?

- A) Settlements are reversible under certain circumstances
- B) Settlements are irrevocable and final once deemed so
- C) Settlements are subject to ongoing monitoring by the RBI
- D) Settlements are regulated by the Payment System Board

Answer: B) Settlements are irrevocable and final once deemed so

85. What is the objective of the Payment System Board established within the RBI?

- A) Oversight and monitoring of payment systems
- B) Enforcement of penalties
- C) Licensing of payment system operators
- D) Regulation of payment systems

Answer: A) Oversight and monitoring of payment systems